

sales of ₹8,620 crore, up 9%, and in the Rest of the World (RoW), sales increased by 11% to ₹6,715 crore.

Sun invested ₹3,178 crore in research and development (R&D), up from ₹2,368 crore in FY23. Ebitda or earnings before interest, taxes, depreciation, and amortisation, added up to ₹13,023 crore, with an Ebitda margin of 27%. The adjusted net profit, excluding exceptional items, rose 16.5% to ₹10,071 crore, against ₹8,645 crore the previous year.

Sun Pharma spent ₹793 crore or 6% of total sales on R&D in Q2FY25.

“We remain focussed on maintaining a balanced approach, investing in R&D, and expanding our speciality product portfolio,” said Dilip Shanghvi, Chairman and Managing Director of Sun Pharma, during a recent investor call.

In Q2FY25, Sun Pharma's net sales were up 11% to ₹13,264 crore, while net profit was up 28% to ₹3,040 crore. Sun rode demand across key markets, but the US is the lynchpin, with sales increasing by 20%. “The US remains vital to our expansion, and we are excited about new product launches,” said Abhay Gandhi, CEO of Sun Pharma's North America operations.

In India, Sun Pharma reported an 11% growth in Q2, aided by product launches.

Zydus Lifesciences reported an 80% increase in market capitalisation to ₹92,068 crore, powering it up by 13 places in the BT500 ranking. Zydus's show reflects the success of diversifying its product portfolio and expanding its footprint across key international markets.

Among other big names, Cipla slipped by eight places despite its performance in its core therapeutics business. However, its strategic investments in chronic therapy markets in the US and Africa have helped it maintain revenue growth. In Q2FY25, Cipla increased its revenue by 9% to ₹7,051 crore, while the

Ebitda margin was 27%.

Umang Vohra, Cipla's Managing Director and Global CEO, says the growth is across key therapeutic areas. “Our growth in India is driven by performances in the chronic therapy sector,” Vohra said, highlighting Cipla's chronic market share at 62% share in the respiratory and cardiac treatment markets. Its consumer health business grew 20%. However, Cipla faces some challenges, including supply chain disruptions affecting its lanreotide franchise and issues raised during a US FDA re-inspection of its Goa facility. Lanreotide is used primarily to treat certain types of tumours and acromegaly, a growth hormonal disorder. “We are addressing these issues and expect resolutions by Q4FY25,” Vohra has assured investors.

Cipla CFO Ashish Adukia said

the company's One India business would continue to grow ahead of the market in branded prescription and accelerate the growth in trade generics. Cipla is targeting a full-year margin between 24.5% and 25.5%. It will continue to expand in the US.

Cipla reported a 14% increase in revenue in FY24 to over ₹25,000 crore, driven by solid performances across key markets like India, North America, and South Africa. Profitability improved, with Ebitda rising 26% YoY to ₹6,233 crore, and profit after tax (PAT) increasing by 47% to ₹4,106 crore. As of September 2024, Cipla has a net cash reserve of ₹7,950 crore, providing significant financial flexibility.

EMERGING STRONG

Firms such as Sun Pharma, Zydus, Divi's Laboratories, and Cipla are

HEALTH CHECK

➤ Despite the healthy ROE posted by pharma majors, their valuations seem overstretched

Company	2024/ 2023 Rank	Average Mcap*	Total Income	PAT	ROE (%)	TTM P/E Multiple
Sun Pharmaceutical Industries	15/19	355,201 (45)	50,125 (12)	9,648 (13)	16.1	39.17
Cipla	71/63	114,042 (34)	26,521 (14)	4,155 (47)	16.6	27.13
Divi's Laboratories	74/60	108,649 (21)	8,184 (1)	1,600 (-12)	12.1	88.79
Dr. Reddy's Laboratories	79/66	102,042 (28)	28,905 (12)	5,578 (24)	21.8	18.90
Zydus Lifesciences	91/104	92,068 (80)	19,917 (12)	3,831 (91)	20.5	22.56

NOTE DATA AS OF NOVEMBER 25, 2024; *FROM OCTOBER 1, 2023 TO SEPTEMBER 30, 2024; TOTAL INCOME, PAT, AND ROE FOR FY24; AVERAGE MARKET CAP, TOTAL INCOME, PAT IN ₹ CRORE; FIGURES IN BRACKETS REPRESENT YOY CHANGE IN %; RESULTS ARE ON CONSOLIDATED BASIS; **TTM** TRAILING 12 MONTHS; **P/E** IS PRICE-TO-EARNINGS **SOURCE** ACE EQUITY